Shyam Metalics & Energy Ltd: Concall Tracker

Is there a durable earning trigger, and has management been consistent about it? · Ticker SHYAMMETL (BSE 543299) · Quarter folder Q2-2027 · Builds on the Q1-2027 report (coverage to the 21 Jul 2026 call) · New call deep-read: Q2 FY27, 2 Nov 2026

1. Snapshot

What the business does: Shyam Metalics is an "ore-to-metal" metals maker in eastern India. It turns iron ore and coal into pellets, sponge iron, pig iron and billets, then into long steel (TMT bars, wire), and more and more into higher-value products: ferro alloys, aluminium foil, stainless steel, and cold-rolled and colour-coated (painted) steel sheet. It makes most of its own power, which keeps costs low.

Measure	Value	Plain-English read
Market value	≈ ₹36,300 cr	What the stock market says the whole company is worth (Screener, Nov 2026).
Q2 FY27 revenue	₹5,960 cr (+33% YoY)	Sales for Jul-Sep 2026, up a third on a year ago and about a tenth on the June quarter. A record.
Q2 FY27 operating EBITDA	₹823 cr, margin 13.8%	Operating profit before interest, tax and depreciation, excluding other income. Up about half on last year; margin up 1.7 points.
Q2 FY27 net profit	₹511 cr (+96% YoY)	Profit nearly doubled, but part of that is an accounting change: depreciation moved to the straight-line method this quarter, which lowers the charge.
Net debt	₹192 cr	Next to nothing for a company this size. Working capital is negative (customers and suppliers fund it).
Capex still to spend	≈ ₹8,864 cr	Money for announced plants over the next 2-3 years, from its own cash. About 53% of the ₹18,785 cr plan is already spent.

2. Concall coverage

Quarter	Call date	How it was read
Q3 FY23 → Q4 FY26 (12 calls)	Feb 2023 → May 2026	Carried forward from the Q4-2026 and Q1-2027 reports
Q1 FY27 (prior boundary)	21 Jul 2026	Read in full for the Q1-2027 report
Q2 FY27	2 Nov 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter. The backstory comes from the prior report. The transcript was filed on 7 Nov 2026 and picked up from Screener.

★ Latest concall highlights: Q2 FY27 (2 Nov 2026)

- **Record quarter, driven by tonnes.** Revenue ₹5,960 cr (+33%) on a 26% jump in volume to 15.5 lakh tonnes. Flat steel volume more than doubled to about 81,500 t and stainless steel volume rose about a fifth with prices up about a third.
- **Profit flattered by accounting.** Profit after tax ₹511 cr (+96%), helped by "lower depreciation" after the switch from written-down value to straight-line. The cleaner number, operating EBITDA, grew about half (+53%).
- **Plants that switched on:** an 18,000 t aluminium foil line at Sambalpur in July (total foil about 42,000 t), a 1.5 million t ore beneficiation plant (₹150 cr) and a 9 MW solar plant at Jamuria.
- **New big ideas:** a 51% stake in Alom Solar, which won the Phutamura coal block (production by July 2027, about ₹400 cr EBITDA hoped by FY31), and an MOU for a 9 million t steel complex in Maharashtra (about ₹50,000 cr). The Chairman said the Maharashtra plant is 8-10 years out with no real spend for 1.5-2 years.
- **Tone:** confident and big-picture. Targets ROE 16% and ROCE 24% by 2031 (now 14% and 20%), and a margin of 14.5-16% versus the 11.5-12% it has "been maintaining".

Business mix & capacity (quick facts)
Domestic vs export: Not broken out on this call. The prior call put exports at about ₹1,500-2,000 cr a year, roughly a tenth of sales, mostly aluminium foil.
Capacity use: Mittal Corp (acquired long-steel unit) runs at about 85%. No plant-wide figure. The new foil line and beneficiation plant are still settling in.

★ Since our last report

Builds on the Q1-2027 report (call of 21 Jul 2026). Prior verdicts: trigger YES, consistency YES.

Prior read	What we said then	What the new call shows	Movement
Trigger (YES)	Profit finally growing with the richer mix.	Third straight quarter of growth; flat and stainless volumes up sharply; operating EBITDA +53%.	Confirmed
Consistency (YES)	Plants on time, self-funded.	Foil line and beneficiation plant commissioned as flagged; ₹1,291 cr H1 capex covered by ₹1,544 cr operating cash.	Confirmed
Aluminium payoff from Q3	Foil-stock unit commissioning.	Foil line live in July; aluminium volume up only 3%, but prices up 28%. Flat-rolled (FRP) plant still to come.	On-track
Stainless steel	Still small, payoff FY28-29.	₹2,700 cr expansion with downstream lines targeted by March 2029; about ₹1,100 cr EBITDA hoped by FY31.	On-track, unproven
Ever-growing capex	"When does spending end" never answered.	Added a coal block and a Maharashtra mega-plant MOU. The list got longer again.	Slipping

Checkpoints from the last report (it had none, so the journal's promises are scored): new aluminium, iron-making and power plants come on through the next two quarters → **Partly** (foil line, beneficiation and solar came on; nothing said on iron-making or captive power units). The capex list keeps getting longer → **Missed** (it grew again with the coal block and Maharashtra MOU).
Checkpoint results: Partly | Missed

Verdict change: trigger unchanged at YES. Consistency unchanged at YES, with a sharper watch on how much new spending gets added.

3. Earning Trigger thesis ★

The story is still the same one: turn cheap ore and self-made power into higher-value metal. This quarter that showed up as tonnes: flat steel doubled, stainless grew and prices for stainless, alloys and aluminium were all higher. The next leg is a run of plants due by FY29 (a 1.6 million t hot-rolled coil mill, a 0.8 million t auto-grade special bar mill at Kharagpur, the stainless expansion, aluminium flat-rolled), all of which management says earn above ₹10,000 a tonne. Management wants 70-80% of sales from value-added products in two years.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Flat steel (CR / colour-coated)	Backed by its own HR coil from 2028.	Volume more than doubled YoY.	Now	Strong	↑ volumes showing
Stainless steel	₹1,100 cr EBITDA by FY31; ₹13,000-15,000 EBITDA a tonne.	Volume +21%, price +35%; moving into wire and pipe.	FY29-31	Moderate	↑ plan firmed with a date
Aluminium foil & FRP	FRP plant adds in-house foil stock.	Foil line live; demand helped by Middle East plant shutdowns.	FY27-28	Moderate	unchanged
HR coil + auto steel	1.6 million t HR and 0.8 million t SBQ by FY29.	On the ground, not yet earning.	FY28-29	Unproven	unchanged
Captive coal	Phutamura block from July 2027.	Deal announced this quarter.	FY28+	Unproven	new

The catch: it's still a steel and metals business. Part of the margin lift came from strong prices (aluminium helped by Middle East shutdowns), part of the profit jump is the depreciation change, and the capex list keeps growing. New rivals are adding coated-steel lines; the Chairman brushed that off.

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Net debt "going to remain like this only" (2 Nov 2026). No paydown plan.
New business	Yes	51% of Alom Solar for the Phutamura coal block; fin stock and battery foil as new aluminium products (2 Nov 2026).
Margin up	Yes	Operating EBITDA margin "expanded by 170 bps" to 13.8%; goal 14.5-16% (2 Nov 2026).
New management	No	No change.
New capacity	Yes	18,000 t foil line commissioned at Sambalpur in July; 1.5 million t beneficiation plant; 9 MW solar at Jamuria (2 Nov 2026).
Big orders	No	Not discussed.
Turnaround	No	Not applicable.
Promoter buying	No	Not mentioned.

Single concrete driver: more of its own iron is being turned into flat steel, stainless and aluminium foil, with new plants for each coming on through FY29.

3c. Margin bridge

Operating margin is 13.8% versus 12.1% a year ago. Management credits a richer mix (stainless wire and pipe, more flat steel) and good demand; aluminium was helped by Middle East plant shutdowns and higher prices, and raw material costs were mostly passed through. The mix part looks lasting; the price part is not. Net profit is also lifted by the depreciation method change (lasting).

4. Management Consistency scorecard

Period / theme	What was promised	What actually happened	Verdict
FY23 → FY26 capacity plan	Pellets, blast furnace, CRM, colour-coated, foil.	Built mostly on time (prior reports).	Delivered
FY27 growth	"More than 20%" growth.	H1 revenue +28%.	Delivered
Aluminium foil line	Commission early FY27.	18,000 t line live July 2026.	Delivered
Beneficiation plant (Q1 call)	Use low-grade ore instead of a mine.	1.5 million t plant commissioned.	Delivered
Stainless steel (from FY23)	₹1,700-1,800 cr revenue "next year".	Still small; now dated to March 2029 plant.	Missed
Self-funded capex	Pay from own cash.	H1 capex fully covered by operating cash; net debt ₹192 cr.	Delivered
Capex discipline	"Stabilize one by one."	Added coal block and a Maharashtra MOU this quarter.	Too early

Narrative drift: low on the core story, which hasn't changed since 2023. What's new is scale of ambition: a 9 million t Maharashtra complex is a bigger, more cyclical bet than the value-added pitch, though the Chairman says nothing moves on it before 2029-30. The habit of announcing the next project before the last one earns is the thing to watch.

5. Bottom line: two verdicts

Durable earning trigger? → **YES** (vs last quarter: unchanged)

Nothing knocked it down. Flat steel and stainless volumes jumped, operating profit grew about half, and new plants keep switching on. Strip out the depreciation change and prices and there's still a real mix shift under it.

Management consistent? → **YES** (vs last quarter: unchanged)

Plants keep arriving when promised and capex is still paid from its own cash. The blemishes carry over: stainless has slipped for years, and the capex list grew again this quarter with a coal block and a Maharashtra MOU.

6. Checkpoints for next quarter ★

- Aluminium flat-rolled (FRP) plant is commissioned
- Operating margin stays at or above this quarter's level
- No new large project is added to the capex list

Concall-tracker report · Shyam Metalics & Energy Ltd (SHYAMMETL) · Sources: Q2 FY27 earnings-call transcript (2 Nov 2026, via Screener.in), the Q1-2027 concall-tracker report for earlier calls, Screener snapshot data. Not investment advice. Do your own due diligence.